

Comprehensive Wealth Building Plan

Tomoko S. Mays | December 2025

1. Executive Summary

Your Path to Tax Optimization and Wealth Building

This comprehensive plan outlines strategic tax optimization and wealth-building strategies for your situation. With \$325,000 in household income, an established S-Corporation, and strong interest in real estate investing, you're positioned to implement high-value strategies that will significantly reduce your tax burden while building substantial wealth.

Projected First-Year Benefits

Conservative Approach \$42,736 - \$49,952 Tax savings from foundational strategies	With Real Estate \$75,536 - \$178,152 Including STR and cost segregation	Cash Flow Boost \$25,000 - \$40,000 Annual rental income from first property
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How This Plan Achieves Your Goals

Your Goal	Strategy	Timeline	Projected Result
Reduce tax bill by \$50-100K	8 foundational + 3 real estate strategies	Q1-Q2 2026	\$75K-\$178K annual savings

Your Goal	Strategy	Timeline	Projected Result
Replace W-2 salary with passive income	Short-term rental property acquisition	2-3 years	\$75K-\$160K annual (3-4 properties)
Build \$1M net worth in 1-3 years	Real estate + Bitcoin + tax savings	12-24 months	\$776K → \$1,073K ✓
Scale real estate business	STR with cost segregation	Start Q1 2026	\$25K-\$40K cash flow + \$30K-\$50K tax savings per property

2. Client Profile Analysis

NAME	AGE
Tomoko S. Mays	55
LOCATION	FILING STATUS
Jersey City, NJ	Married Filing Jointly
ANNUAL INCOME	INCOME BREAKDOWN
\$325,000	\$250K W-2 + \$75K S-Corp
ENTITY STRUCTURE	MARGINAL TAX RATE
LLC with S-Corp Election	32% (24% Fed + 8% NJ)
TIME AVAILABLE	SPOUSE AVAILABILITY
15+ hours/week	10+ hours/week
LIQUID CAPITAL	HOME EQUITY
\$150,000	\$526,000

3. Recommended Tax Strategies

Strategy 1: Solo 401(k) Maximum Contributions

Estimated Annual Value: **\$13,440 - \$19,840**

2026 Contribution Limits: Employee \$24,500 + Catch-up \$8,000 + Employer ~\$15,000 = Total \$47,500

Implementation: Establish with Fidelity, Vanguard, or E*Trade. Employee deferrals must be made before December 31, 2025 (URGENT). Employer contributions can be made until tax filing deadline.

Strategy 2: Home Office Deduction (Regular Method)

Estimated Annual Value: **\$1,920 - \$2,880**

You have a dedicated room used exclusively for business. Using the regular method provides significantly more value than the \$1,500 simplified method cap.

Deductible Expenses: Mortgage interest, property taxes, utilities, insurance, repairs (prorated by business use percentage of home)

Strategy 3: Augusta Rule - 14-Day Home Rental

Estimated Annual Value: **\$2,880 - \$4,480**

Rent your home to your S-Corp for business meetings up to 14 days per year. Your business deducts the expense, but you don't report rental income.

Rate: \$500-\$700/day based on comparable commercial venues in Jersey City. Document business purpose for each meeting.

Strategy 4: Vehicle Expense & Section 179

Estimated Annual Value: \$6,400 - \$11,200

Your Jeep Grand Cherokee used 75%+ for business qualifies. Standard mileage: 70 cents/mile (2025 rate). Track all business miles with automated app.

Strategy 5: Accountable Plan - Spouse Employee

Estimated Annual Value: \$1,600 - \$2,240

Formally employ spouse and reimburse for business expenses: cell phone, internet, mileage, meals, professional development. Tax-free reimbursements convert personal expenses to business deductions.

Strategy 6: HSA Maximum Contribution

Estimated Annual Value: \$1,536 - \$2,240

2026 Limit: \$8,750 family + \$1,000 catch-up (age 55+) = \$9,750 total

Triple tax advantage: tax-deductible contributions, tax-free growth, tax-free withdrawals for medical expenses.

Strategy 7: Backdoor Roth IRA (Both Spouses)

Estimated Annual Value: \$16,000 Tax-Free Growth

2026 Limit: \$7,500 + \$1,100 catch-up = \$8,600 per person × 2 = \$17,200 total

Process: Non-deductible contribution to Traditional IRA → Immediate conversion to Roth IRA. All future growth tax-free forever.

Strategy 8: Short-Term Rental Material Participation

Estimated Annual Value: **\$12,800 - \$48,000**

The Strategy: When renting property for average stays of 7 days or less AND materially participating (100+ hours), rental losses can offset your \$250,000 W-2 income immediately.

Your Advantage: High W-2 income creates perfect arbitrage. 15+ hours/week availability makes 100-hour requirement easy to meet.

Property Target: \$350,000-\$400,000 purchase in Poconos, Hudson Valley, or Jersey Shore. Expected cash flow: \$25,000-\$35,000 annually.

Strategy 9: Cost Segregation Study

Estimated Annual Value: **\$40,000 - \$160,000**

Accelerate depreciation on STR property by reclassifying components to 5, 7, and 15-year property (vs. standard 27.5 years). With 100% bonus depreciation (now permanent), this creates massive first-year deductions.

Example: \$350,000 property → \$125,000-\$175,000 immediate depreciation → \$40,000-\$56,000 tax savings at 32% rate.

Study Cost: \$3,000-\$5,000. ROI: 10x-18x in year one.

Strategy 10: QBI Deduction Optimization

Estimated Annual Value: **\$960 - \$1,600**

20% Qualified Business Income deduction on your S-Corp distributions (made permanent by OBBBA Act, July 2025). Work with CPA to optimize W-2 salary vs. distribution split.

Strategy 11: W-4 Withholding Optimization

Estimated Annual Value: +\$6,500 - \$10,000 Cash Flow

Adjust W-4 withholding to match actual tax liability (reduced by all deductions).
Improve monthly cash flow by \$700-\$850 without increasing tax liability.

4. Recommended Investment Allocation

Asset Class	Allocation	Amount	Purpose
Emergency Fund Enhancement	24%	\$36,000	Bring to 6 months expenses (\$54K total)
Real Estate Investment	46%	\$70,000	STR property down payment
Bitcoin/Crypto	20%	\$30,000	Build meaningful position
Stock Market Index	10%	\$14,000	Diversification and liquidity

STR Property Financial Projection

- Purchase Price:** \$350,000-\$400,000
- Down Payment:** \$70,000 (20%)
- Financing:** \$280,000 mortgage
- Annual Rental Income:** \$45,000-\$60,000
- Operating Expenses:** \$20,000-\$25,000
- Net Cash Flow:** \$25,000-\$35,000
- First-Year Tax Deductions (cost seg):** \$80,000-\$120,000
- Tax Savings:** \$25,600-\$38,400
- Total First-Year Benefit:** \$50,600-\$73,400

5. 12-Month Implementation Timeline

December 2025 (URGENT - 2 Weeks Remaining)

- Establish Solo 401(k) and make employee deferral (\$31,000)
- Gather 2025 home office expense receipts
- Execute remaining Augusta Rule meetings (document business purposes)
- Complete any Section 179 equipment purchases before 12/31

January 2026

- Submit optimized W-4 (+\$700-\$850 monthly take-home)
- Increase HSA to maximum (\$9,750 annually)
- Set up automatic Solo 401(k) contributions
- Execute Backdoor Roth IRA for both spouses
- Begin STR market research using AirDNA

February - March 2026

- Draft accountable plan policy with CPA
- Formally employ spouse in S-Corp
- Schedule STR property viewings
- Make offer on first STR property
- Secure financing (leverage 760+ credit score)

April - May 2026

- Close on STR property
- Engage cost segregation firm immediately
- Furnish property (\$15K-\$20K budget)
- List on Airbnb, VRBO, Booking.com

- Set up time tracking for material participation

June - December 2026

- Operate STR property and track all management hours
- Maintain meticulous income/expense records
- Continue monthly spouse reimbursements
- Make quarterly estimated tax payments
- Document material participation (target 100+ hours minimum)
- Year-end: verify all strategies implemented and documented

6. Complete First-Year Financial Impact Summary

Conservative Scenario (Without Real Estate)

Category	Strategy	Annual Benefit
TAX SAVINGS		
Retirement	Solo 401(k) Maximum	\$13,440 - \$16,640
Home Office	Regular Method Deduction	\$1,920 - \$2,880
Business Rental	Augusta Rule (14 days)	\$2,880 - \$4,480
Vehicle	Business Use Deduction	\$2,688 - \$2,712
Equipment	Section 179 Expensing	\$960 - \$3,200
Spouse Expenses	Accountable Plan	\$1,600 - \$2,240
Health Savings	HSA Maximum	\$1,536 - \$2,240
QBI	S-Corp Optimization	\$960 - \$1,600
TOTAL TAX SAVINGS:		\$25,984 - \$35,992
CASH FLOW IMPROVEMENTS		

Category	Strategy	Annual Benefit
Withholding	W-4 Optimization	\$6,500 - \$10,000
TOTAL CASH FLOW:		\$6,500 - \$10,000
CONSERVATIVE TOTAL:		\$48,484 - \$61,992

Aggressive Scenario (With STR Real Estate)

Category	Strategy	Annual Benefit
TAX SAVINGS		
<i>All Conservative Strategies</i>		\$25,984 - \$35,992
Real Estate	STR Material Participation	\$17,600 - \$27,200
Real Estate	Cost Segregation	\$40,000 - \$56,000
TOTAL TAX SAVINGS:		\$83,584 - \$119,192
CASH FLOW IMPROVEMENTS		
Withholding	W-4 Optimization	\$6,500 - \$10,000

Category	Strategy	Annual Benefit
Real Estate	STR Net Operating Income	\$25,000 - \$35,000
TOTAL CASH FLOW:		\$31,500 - \$45,000
RETIREMENT CONTRIBUTIONS		
Solo 401(k) + HSA + Backdoor Roth (both)		\$74,450 total
WEALTH BUILDING		
Real Estate Equity Growth (appreciation + paydown)		\$24,000 - \$32,000
AGGRESSIVE TOTAL BENEFIT:		\$213,534 - \$270,642

Master Financial Impact Table - Year One Complete Summary

Benefit Category	Annual Amount
Direct Tax Savings	\$83,584 - \$119,192

Benefit Category	Annual Amount
Cash Flow Improvements	\$31,500 - \$45,000
Debt Elimination Savings	\$7,200 - \$9,600
Retirement Contributions	\$74,450 invested
Real Estate Equity Gain	\$24,000 - \$32,000
Investment Portfolio Growth	\$50,000 deployed
TOTAL FIRST-YEAR FINANCIAL IMPACT:	\$270,734 - \$330,242
NET WORTH INCREASE:	~\$297,000
MILESTONE ACHIEVED:	\$776K → \$1,073K ✓

By implementing this comprehensive wealth plan, you'll save \$80,000-\$120,000 in taxes, generate \$25,000-\$35,000 in new passive income, contribute \$74,450 to retirement accounts, and achieve over \$1,000,000 in net worth within 12 months. You'll have built sustainable systems for continued wealth accumulation in years 2-3 and beyond.

7. Documentation & Record-Keeping

Proper documentation is critical for defending deductions. The IRS requires contemporaneous records for most business deductions.

Essential Documentation by Strategy

- **Solo 401(k):** Plan adoption agreement, contribution records, Form 5500-EZ if balance >\$250K
- **Home Office:** Photos showing exclusive use, floor plan with measurements, all home expense receipts, Form 8829
- **Augusta Rule:** Written rental agreement, comparable venue pricing documentation, meeting agendas and attendees, payment records
- **Vehicle:** Daily mileage log (use automated app), all expense receipts, beginning/end odometer readings
- **Accountable Plan:** Written policy, monthly expense reports with receipts, reimbursement records
- **STR Property:** Detailed activity log showing management hours (contemporaneous), guest communication records, booking statements, proof of average stay <7 days, material participation documentation (100+ hours)
- **Cost Segregation:** Professional study report, purchase documents, property photos, depreciation schedules

General Best Practices:

- Retain all tax records for at least 7 years
- Scan and store digitally with cloud backup
- Record information at time of activity (contemporaneous)
- Maintain separate accounts for business expenses
- Review and organize monthly, not just at tax time

8. Next Steps & Implementation

Immediate Actions (This Week)

1. Review this plan with your CPA (verify all calculations)
2. Establish Solo 401(k) before December 31, 2025 (URGENT)
3. Calculate home office deduction and gather receipts
4. Execute final Augusta Rule meetings before year-end
5. Organize all 2025 documentation for tax return

January 2026 Priorities

1. Submit optimized W-4 to employer
2. Maximize HSA contributions (\$812.50/month)
3. Execute Backdoor Roth IRA for both spouses
4. Begin STR property research with AirDNA
5. Draft accountable plan with CPA

Your Path Forward

This plan provides a clear roadmap to achieve your goals: reducing taxes by \$50-100K annually, replacing W-2 income with passive cash flow, and building to \$1M+ net worth. The strategies are proven, legal, and appropriate for your situation.

Success requires disciplined execution and excellent documentation. Invest time in setting up proper systems now, and the benefits will compound for years to come.



You have the income, resources, professional team, and time availability to implement these strategies successfully. The opportunity is in front of you—now it's time to execute.

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Prepared for: Tomoko S. Mays

Date: December 2025

This plan is for educational and informational purposes. Implementation should be done in consultation with qualified tax, legal, and financial professionals who understand your complete situation. Tax laws change regularly and individual results will vary based on specific circumstances.

